Week 8

🚚 1. Supply Chain & Retail Management

The core of the lecture is not just the physical supply chain, but the *planning* that governs it. The central framework for this is the **Merchandise Plan**.

📋 2. Devising the Merchandise Plan

A Merchandise Plan is a comprehensive strategy for managing inventory. For an MCQ, you must know its **6 components**:

1. **Innovativeness:** What new products/concepts to create or offer.
2. **Forecasts:** How much to produce or buy (based on expected demand).
3. **Assortment:** The variety of products to be offered.
4. **Brands:** Which brands to carry (e.g., national brands, private-label).
5. **Timing:** *When* to launch or deliver products.
6. **Allocation:** *How* to distribute the merchandise to stores, warehouses, and channels.

📦 3. Key Concept: Allocation (Distribution)

Definition: Allocation is the process of **controlling the flow of merchandise** from the supplier to the customer. This involves deciding *how* inventory is distributed.

Key Distribution Models (How the product moves):

- **Single-Unit Retailer:** Decides how much merchandise to put on the **sales floor** vs. in the **stockroom**.
- **Warehouse Hub Model:**
  1. Suppliers ship products to a central **Warehouse** (or "Distribution Center").
  2. The warehouse then **assigns and ships** the products to individual stores.
- **Direct-to-Store Model:**
  1. Suppliers ship goods **directly to individual stores**, bypassing the central warehouse.
  2. This is common in supermarket chains.

A more complex chain (as shown in the diagrams) can look like this:
Factory $\rightarrow$ Central Warehouse $\rightarrow$ Regional Warehouses $\rightarrow$ Service Centers $\rightarrow$ Customers

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🌐 4. The Role of Channels in Allocation

Definition: Channels are the *different ways* a customer can buy from you (e.g., physical store, online website, franchise, app).

- **Why Channels Matter:** Allocation isn't just about physical stores. You must ensure you have the **right stock balance across *all* your channels** (e.g., your online store and your physical store need the right amount of inventory).
- **Benefits of Strong Channel Planning:**
  - Better product availability
  - Fewer stockouts
  - Faster inventory turnover

🌊 5. The 3-Step Flow of Merchandise Planning

This is a critical, sequential process. You **must** know the order for your exam.

1. **Step 1: Innovativeness (WHAT)**
   - This comes first. It's the product idea or new concept.
   - *Question:* **What** to create or offer?
2. **Step 2: Forecasting (HOW MUCH)**
   - This comes second. You must predict demand for your new idea.
   - *Question:* **How much** to produce or buy?
3. **Step 3: Timing (WHEN)**
   - This is the final step in the planning flow.
   - *Question:* **When** to launch or deliver it (based on seasonality, buying patterns, etc.)?

Key Takeaway: A great product (Innovativeness) with a perfect demand (Forecasting) will **still fail if launched at the wrong time (Timing)**.
